

H-2. EVIDENCE OF INSURANCE – PASSENGER AND PUBLIC LIABILITY

a. Prior to performance of any services hereunder, the Contractor shall provide Evidence of Insurance which is duly executed by the Insurer of the requirements outlined in H-1a. and substantially conforms to the form set forth below. The Contractor shall maintain, and upon renewal submit evidence of, the appropriate level of insurance coverage at all times.

Name of Insurer (Hereinafter called the Insurer)
of _____
Address of Insurer
has issued to _____
Name of Insured Policy _____, bearing policy number
_____, with respect to the legal liability of the said Insured for aircraft passenger death or bodily injury,
aircraft public death or bodily injury (excluding passengers) and aircraft property damage liabilities, effective from
_____ through _____.

(Signature of Insurer)

(Current Date)

b. The minimum limits of liability insurance coverage maintained by the Insured under the said policy are as follows*:

(1) Liability for bodily injury to or death of aircraft passengers: A minimum limit for any one passenger of at least three hundred thousand dollars (\$300,000.00), and a total per involved aircraft for each occurrence three hundred thousand (\$300,000.00) times 75 percent of the number of passenger seats installed in the aircraft.

(2) Third party liability for bodily injury to or death of persons (excluding passengers) and damage to property: A minimum limit of at least three hundred thousand dollars (\$300,000.00) for any one person in any one occurrence, and a total of at least twenty million dollars (\$20,000,000.00) per involved aircraft for each occurrence.

(3) The Insurer further agrees that the insurance afforded under this policy covers payment to the Government, pursuant to the subrogation provision of the Medical Care Recovery Act (42 U.S.C. §§ 2651-2653), of the cost of Government provided medical care to the extent that said insurance would cover payment to injured individuals of the cost of medical care in the absence of any Government obligation to provide medical care.

The terms and conditions of the policy apply throughout the world. The following aircraft are covered by the policy identified above: _____
(List aircraft individually or "All aircraft owned and operated by the Insured")

*In the case of a combined single limit of liability, the Insurer will be required to describe the amount or amounts of insurance coverage.

c. The Insured recognizes that the policy must remain in force after the DoD activates the Civil Reserve Air Fleet (CRAF) to cover any damages that do not qualify for indemnification IAW the Federal Acquisition Regulation or are not covered under any applicable non-premium insurance under Chapter 443 of title 49, U.S. Code, issued by the Federal Aviation Administration.

d. The policy contains the attached endorsement.

By _____
(Company)

(City, State)

(Signature) (Date)

"ENDORSEMENT" (Attachment to the Evidence of Insurance)

It is agreed that, with respect only to operations of the named Insured performed under contract with the United States Transportation Command, Department of Defense (DoD), during a period of CRAF activation, and with respect only to Aircraft Liability Insurance afforded under this policy, the following conditions shall also apply:

e. The Insurer agrees that the insurance afforded under this policy shall not be subject to any lower limits of liability of the Warsaw Convention for the Unification of Certain Rules relating to International Carriage by Air (Warsaw Convention), 49 Stat. 3000, for the death or bodily injury of any passenger. If that convention should otherwise be deemed to be applicable to any passenger death or bodily injury liability, then to the extent stated in the preceding sentence, this insurance shall be deemed to be a higher limit of liability agreed to by special contract as contemplated by the last sentence of Article 22(l) of the Warsaw Convention.

f. The exclusions of the policy relating to war risk coverage, if any, are deleted and the following substituted therefore:

The insurance afforded under this policy shall not apply to:

Personal injuries or death, or damage to or destruction of property, caused by:

- (1) war, invasion, acts of foreign enemies, hostilities (whether war be declared or not), civil war, rebellion, revolution, insurrection, martial law, military, or usurped power or attempts at usurpation of power;
- (2) any hostile
 - (i) detonation of any device employing atomic or nuclear fission and/or fusion or other like reaction and any radioactive contamination and electromagnetic pulse resulting directly from such detonation;
 - (ii) use of radioactive contamination or matter;
 - (iii) use of an electromagnetic pulse; or,
 - (iv) emission, discharge, or release of chemical or biological materials that are poisonous or pathogenic;
- (3) strikes, riots, civil commotions, or labor disturbances;
- (4) any act of one or more persons, whether or not an agent of a sovereign power, for political or terrorist purposes and whether the loss or damage resulting therefrom is accidental or intentional;
- (5) any malicious act or act of sabotage;
- (6) confiscation, nationalization, unlawful seizure, restraint, detention, appropriation, requisition for title or use by or under the order of any government (whether civil, military, or de facto) or public or local authority; or

- (7) hi-jacking or any unlawful seizure or wrongful exercise of control of the aircraft or crew (including any attempt at such seizure or control) made by a person or persons on board the aircraft acting without the consent of the Insured.

g. The Insurer hereby waives any right of subrogation it may have against the United States of America, by reason of any payment under the aforesaid policy of insurance, with respect to loss caused to transportation services by acts of the United States of America or any agency thereof, which acts are in conjunction with the performance by the named Insured of any services under said contract.

h. In the event the Insurer elects to cancel the insurance afforded under this policy, the Insurer hereby agrees that such cancellation shall not be effective unless written notice thereof shall be sent by the Insurer by email to the Contracting Officer not less than 30 days in advance of such cancellation, and in the event the named Insured requests such cancellation, the Insurer agrees to notify, by registered mail, the above stated activity immediately upon receipt of such request.

i. Any exclusions, conditions, or other provisions of this endorsement, which have the effect of restricting or nullifying the coverage already granted by this policy in the absence of this endorsement, shall not apply.

Endorsement to Policy No: _____

Effective Date: _____

Countersigned: _____ (Date)

Company _____